Here is a step-by-step breakdown of the pricing strategy, translated from consulting jargon into simple, actionable concepts.

Step 1: The Diagnostic (Understanding the Problem) Accenture is bringing in massive amounts of work, with $84.5 billion in new bookings and $74.2 billion in revenue in FY2026. However, the company is facing a structural pricing problem called the "productivity paradox".

When Accenture builds Generative AI for a client, the work gets done much faster. Because Accenture traditionally charges by the hour (Time & Materials, or T&M), finishing a project faster means billing fewer hours and making less money, even though the client receives a highly valuable AI tool. Additionally, clients are refusing to pay higher hourly rates for standard consulting work.

Step 2: The Three Strategic Fixes To solve this and increase the company's profit margin by 0.6% to 1.0% (60 to 100 basis points), the strategy outlines three major decisions:

- **Decision 1: Stop Charging by the Hour for AI.** Instead of T&M billing, Accenture must switch to "Value-Share" pricing. This means charging a base fee plus a cut of the success (e.g., taking 10-15% of the money the client saves by using the new AI). This decouples revenue from labor hours and captures the true value of the technology.
- **Decision 2: Sell Monthly Subscriptions, Not Just Services.** Selling standalone consulting makes it easy for clients to compare prices with cheaper competitors. The strategy dictates bundling Dell hardware and Accenture's AI services into a single, recurring monthly enterprise subscription. This makes it harder for clients to leave and blends hardware and services into a highly profitable package.
- **Decision 3: Put a Leash on Discounts and Inflation.** Sales teams often give away too much profit just to win a deal. The strategy enforces a strict "Deal Desk" rule: no one can give a discount larger than 8% without C-suite approval. Furthermore, every multi-year contract must include an automatic yearly price increase tied to inflation (CPI + 1.5%) so that rising wages do not eat into profits.

Step 3: The Execution (The Technology Needed) You cannot enforce these complex new rules globally using manual spreadsheets. Accenture needs an advanced, AI-driven CPQ (Configure, Price, Quote) system.

- **Dynamic Quoting:** When a salesperson pitches a deal, the CPQ engine analyzes the client's history and the specific industry to recommend the optimal target price and maximum allowed discount.
- **Industry Customization:** The pricing engine adapts to what different industries value. For Financial Services, it prices based on risk reduction and system uptime guarantees. For Products and Retail, it prices based on how much money the AI saves in the supply chain.
- **Automated Approvals:** If a salesperson creates a contract with a high profit margin, the system approves it instantly to speed up the sale. If the margin is below the minimum floor, the system blocks it and requires executive review